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The main stories

- **Microsoft says AI agents are "your newest insiders"** and announced controls that limit, score and contain them. It gave no availability date and pointed readers to its Ignite conference in November.
- **SentinelOne launched a product that finds and controls AI agents,** available now in early access. It says the product "goes beyond the MCP gateway".
- **NVIDIA named 11 security vendors building on its new design for running AI agents safely,** including Microsoft, Palo Alto Networks, CrowdStrike, Cisco, Okta and Zscaler.
- **Datadog approached Upwind with an offer of about $4 billion, The Information reports.** Globes, citing The Information, says Upwind turned it down; Calcalist says the offer "was not made". Neither company immediately responded to BankInfoSecurity.
- **Cyber shares rebounded.** From 16 to 23 October, Netskope rose 27.8% and Zscaler 23.0%, by our calculation. The Nasdaq fell 0.7%.
- **Palo Alto Networks now sells two AI-security offerings through OpenAI's marketplace.** Buyers can pay from money already committed to OpenAI.

Our view: large vendors now sell control of AI agents as one part of their platforms. That weakens our prediction that securing agents' tool calls becomes a separate market.

AI agents and security operations

Microsoft extends its insider-risk thinking to AI agents

- Microsoft says it is "extending Perception to secure the agentic insider". In September, Microsoft described Project Perception as an invitation-only preview.
- It named four new controls: task-limited permissions, a live risk score for each agent, conditional access for agents, and a team of "Guardian Agents".
- Microsoft says it is expanding discovery to 60 types of agents running on users' machines, including Claude Code, OpenAI Codex and GitHub Copilot.
- An agent "should not be free to call any tool, API, Model Context Protocol (MCP) server" it can find, Microsoft writes. MCP is a common way for agents to connect to tools.
- **Limit:** the post uses no availability word. It points to Microsoft Ignite, 17 to 20 November.
- **Our view:** Microsoft puts agent identity, access rules and security operations in one system. It treats agent risk as an insider problem, not a separate product.

Sources: Microsoft Security blog, Official Microsoft Blog.

SentinelOne launches agent detection and an "autonomous SOC" suite

- SentinelOne's new Singularity Agentic Detection and Response "discovers AI agents, enforces what agents are allowed to do" and stops misuse, the company says.
- It is "immediately available in early access". SentinelOne says it "goes beyond the MCP gateway" into agents built on Salesforce, Microsoft, OpenAI and Anthropic platforms.
- SentinelOne also launched Singularity ASOC, an "autonomous SOC" (security operations centre) suite, with no availability wording. It is paid for with SentinelOne credits.
- SentinelOne says its AI investigation feature has "completed more than 400,000 investigations of critical alerts".
- Lenovo will add SentinelOne's AI-use controls to its ThinkShield security range, the companies say. They gave no date.
- **Our view:** an endpoint incumbent now sells the same "autonomous SOC" pitch as the AI-native challengers, to a large installed base.

Sources: SentinelOne (agent detection), SentinelOne (ASOC), SentinelOne and Lenovo.

NVIDIA lines up 11 security vendors for its agent-safety design

- NVIDIA says 1Password, Check Point, CrowdStrike, Cisco, F5, Fortinet, Microsoft, Okta, Palo Alto Networks, TrendAI and Zscaler are building support for its OpenShell Reference Architecture.
- NVIDIA says the reference architecture, a design for running AI agents safely, is "now available". SentinelOne is not on the list.
- **Palo Alto Networks** says its runtime protection on NVIDIA BlueField chips "is now generally available". Its agent-identity piece on NVIDIA hardware is still planned.
- **CrowdStrike** says it is connecting Falcon Guardian, its AI detection and response product, to OpenShell. It gave no availability wording.
- **Our view:** the point where agent actions are checked is moving into shared infrastructure that every large vendor plugs into.

Sources: NVIDIA, Palo Alto Networks, CrowdStrike, Zscaler.

Other agent-security and security-operations news

- **Palo Alto Networks** introduced Cortex XDR One, which it says is "designed to control an agent's actions at the source", and a managed endpoint service run by its Unit 42 team.
- **Proofpoint** announced an investigation agent that "will be available in early 2027", paid for with credits. The release for its earlier security-analyst agent still says private preview, with general availability expected by end-September.
- **Torq and 7AI** each say IDC named them a Leader in its 2026 assessment of standalone AI security-operations products.
- **Abstract Security** says AI investigation features in its security-data product are generally available, sold as add-ons sized by alert volume.

- **Darktrace** named Issy Richards chief product officer and Stephen Pickman chief technology officer. Co-founder Jack Stockdale moves to a part-time role, Darktrace says.

Sources: Palo Alto Networks, Palo Alto Networks (managed service), Proofpoint, Torq, 7AI, Abstract Security via Yahoo Finance, Darktrace.

Deals and data security

Datadog's reported $4 billion approach to Upwind is disputed

- The Information reports that Datadog, a cloud-monitoring company, offered about $4 billion for Upwind, which secures cloud systems and AI agents while they run.
- Globes, citing The Information, says Upwind turned the offer down and is completing a $300 million round at a $3.8 billion valuation. Calcalist says it "has learned that the reported offer was not made".
- Neither company immediately responded to BankInfoSecurity. Datadog shares were down 5.2% on the Thursday afternoon, it reports.
- **Our view:** if real, the bidder would be a monitoring vendor, not one of the large security platforms.

Sources: BankInfoSecurity, Globes, Calcalist.

Proofpoint and Varonis: paperwork, and Forrester's advice to buyers

- Varonis told its partners on 19 October: "For now, nothing changes." It said it is "too early" to plan how it will integrate with Proofpoint.
- Varonis has not yet filed the proxy for its shareholder vote, so there is no vote date.
- Barclays and Wolfe Research moved Varonis to neutral ratings, MarketBeat shows. Varonis closed at $48.88 on 23 October; the $49.75 offer is 1.78% above that, by our calculation.
- Forrester says Proofpoint "stands out in data loss prevention and insider risk management" and Varonis in data posture and access governance.
- Forrester tells buyers to "favor shorter terms or negotiate contractual protections in multiyear renewals" until the integration is shown to work.
- **Our view:** the price gap suggests investors expect the deal to close. Forrester's advice may slow long renewals with both vendors.

Sources: SEC filing (partner questions), MarketBeat, Yahoo Finance, Forrester.

Palo Alto Networks sells through OpenAI's marketplace

- Palo Alto Networks says its Prisma AIRS product and a Unit 42 AI-defence service are "now on the newly launched OpenAI Marketplace".
- Customers "holding OpenAI spend commitments" can use them to pay, it says. It gave no prices.

- **Our view:** this is the third tracked vendor in four weeks to sell from an AI-model budget, after CrowdStrike with OpenAI and Cyera with Anthropic.

Source: Palo Alto Networks.

Other data-security news

- **Cyera:** the US government's FedRAMP marketplace now lists Cyera for Government as "FedRAMP Certified" at High impact, a change dated 20 October. It lists no agency authorizations. We found no Cyera announcement.
- **Reco** says it uses Cyera's data labels to find which AI agents can reach sensitive data. **Bloom Security** says it uses them to enforce access decisions while agents run.
- **Everfox** says the US Army awarded it a five-year, $90 million contract vehicle for its cross-domain products.
- **Microsoft Purview** still lists data loss prevention for non-Microsoft apps as in preview. Microsoft planned general availability for late October.

Sources: FedRAMP marketplace, Reco via Yahoo Finance, Bloom Security via Business Insider, Everfox, Microsoft Learn.

Identity

- **Okta** says AI agents and MCP servers can now register with its identity product by web address instead of a stored secret. The kill switch for its agent gateway is still "coming soon".
- **Delinea** launched an MCP server that lets AI assistants answer questions about who can access what. Delinea says it is read-only and limited to each user's permissions.
- **Transmit Security** named Matt Thompson chief executive. It also announced Agentic Trust, which it says detects and controls AI agents acting for customers.

Sources: Okta, Okta (gateway), Delinea, Transmit Security.

Shares

Cyber shares won back much of the prior week's fall

Company	16 to 23 October
Netskope	**+27.8%**
Zscaler	**+23.0%**
SailPoint	+16.2%
Check Point	+15.3%

Company	16 to 23 October
Okta	+13.8%
CrowdStrike	+13.3%
Palo Alto Networks	+11.3%
Nasdaq Composite	-0.7%

- These are our calculations from Yahoo Finance closing prices. Netskope and Zscaler won back all of the prior week's fall; Okta, Palo Alto Networks and CrowdStrike won back part of it.
- TIKR says Friday's rally followed an Evercore ISI survey of channel partners that found a stronger budget outlook for securing data, AI, identities and cloud.
- TipRanks links Friday's gains partly to a Reuters report that AI models are helping find more software flaws. On 21 October, shares also rose as NVIDIA named its partners, TIKR reports.
- We found no company news behind Check Point's or Netskope's rise.

Sources: Yahoo Finance, TIKR (Friday), TipRanks, TIKR (Wednesday).

Funding at a glance

Company	What it does	Round	Lead investor
Blackwall	Tells real visitors and legitimate AI agents from malicious bots	**$100 million** Series C, $2.2 billion valuation	AVP
Mave	AI agents for security operations	**$34 million** seed and Series A	Red Dot Capital Partners (Series A)
Ultra Security	Checks AI agents' tool calls	**$10 million** seed	Not stated
Asymptote Labs	Runtime controls for AI agents	**$5.5 million** seed	Tower Research Ventures

- Blackwall's figures come from Trending Topics, which cites TechCrunch.

Sources: Trending Topics, Mave via Yahoo Finance, Dealroom, SecurityWeek.

Acquisitions at a glance

Buyer	Target	Status	Price
Datadog	Upwind	Reported approach, disputed (The Information, Globes, Calcalist)	About $4 billion, reported
Anthropic	Opaque Systems (confidential AI)	Team joins Anthropic, announced 13 October	Not disclosed
Cohere	AISLE (finding and fixing software flaws)	Proposed agreement, announced 15 October	Not disclosed
Infotech	Zluri (software and access governance)	Completed, announced 14 October	Not disclosed

- These three earlier October deals were not in our previous summaries. SecurityWeek reports that "Anthropic has acquired" Opaque; Opaque says its team is joining Anthropic and it is winding down.
- "What's notable about last week's deals wasn't the sellers. It was the buyers," BankInfoSecurity writes, naming Workday, OpenAI and Cohere.
- We found no acquisition by Palo Alto Networks, Microsoft, Cisco, CrowdStrike, Zscaler or Okta this week.

Sources: Opaque, SecurityWeek, Cohere, Zluri, BankInfoSecurity.

Prediction updates

Our seven predictions from the State of Cyber report, checked against the evidence since 3 October. These are our assessments, and they include evidence from the two earlier weekly summaries.

Prediction	Our assessment
Large platforms win across data security and broader security platforms	**Supported** (unchanged)
Identity and security operations converge through machine and agent accounts	**Supported** (unchanged; strongest evidence so far)
Data-posture platforms absorb data loss prevention	**Buying trend supported; replacement not established** (unchanged)
Bundled products squeeze specialists in the mid-market	**Supported within that scope** (unchanged)

Prediction	Our assessment
Securing AI tool calls becomes a distinct category	**Weakened further** (was weakened)
AI-native challengers keep a distinctive edge in security operations	**Weakened** (unchanged)
Standalone insider-risk brands are absorbed into broader platforms	**Unchanged**

Prediction 1: large platforms win across both markets

- Microsoft, Palo Alto Networks, CrowdStrike and Cisco are all on NVIDIA's partner list. Palo Alto Networks and CrowdStrike now sell through OpenAI's marketplace.
- But this month's largest disclosed deals were by Proofpoint and IonQ; Workday signed one at an undisclosed price. CrowdStrike's reported talks with Orion Security remain unconfirmed.
- **Our assessment remains supported.** The platforms keep broadening, but they did not lead this month's deals.

Prediction 2: identity and security operations converge through agent accounts

- Microsoft announced identity and access controls for agents, and says Project Perception shares one agent registry with Microsoft Agent 365. SentinelOne lists each agent's permissions and the employees behind it.
- Workday agreed to buy C1.ai to govern access for people and agents. IonQ agreed to buy Elisity, which IonQ says limits which users, devices and AI agents can communicate on a network.
- **Our assessment remains supported,** with the strongest evidence since the report.

Prediction 3: data-posture platforms absorb data loss prevention

- The month's largest deal ran the other way: Proofpoint, strong in data loss prevention and insider risk, is buying Varonis, strong in data posture.
- Reco and Bloom Security use Cyera's data labels to rank or control what agents can reach, but those partners, not Cyera, act on them.
- **Our assessment is unchanged.** We found no disclosed replacement win and no analyst reclassifying data loss prevention as a module.

Prediction 4: bundles squeeze the mid-market

- Zscaler said 70% of its fourth-quarter AI-security deals included data security. Proofpoint offers free credits on platform commitments made by 31 December.
- Netskope, SentinelOne and Proofpoint price AI agents in credits; Proofpoint's new agent arrives in early 2027. Three vendors sell through AI-model marketplaces.
- **Our assessment remains supported for the mid-market and new deployments.** Lost specialist revenue has not been shown.

Prediction 5: securing AI tool calls becomes a distinct category

- Okta made its agent gateway generally available on 8 October. ManageEngine says its tool-call gateway is live; SentinelOne, Microsoft and NVIDIA's 11 partners treat the control as part of larger products.
- Dedicated vendors still raise seed money, such as Ultra Security and Asymptote Labs. We found no analyst naming the category.
- **Our assessment moves from weakened to weakened further.** The prediction runs to the first half of 2027.

Prediction 6: AI-native challengers keep a distinctive edge

- SentinelOne now sells an "autonomous SOC" suite. Microsoft announced security-operations agents, with no date.
- Incumbents' delivery is still uneven. Proofpoint's release for its first agent still says private preview, past its target; its second is due in early 2027.
- Challengers keep raising and claiming analyst placements: Mave raised $34 million; Torq and 7AI claim IDC Leader placements.
- **Our assessment is unchanged at weakened.** The evidence cuts both ways.

Prediction 7: standalone insider-risk brands are absorbed

- We found no purchase of a dedicated insider-risk vendor this month. Forrester describes Varonis as strong in data posture and access governance; the insider-risk strength it names is Proofpoint's.
- Microsoft now treats risky AI agents as insiders inside its identity and security-operations products, not in a separate insider-risk product.
- Everfox, which also sells insider-risk products, won a $90 million Army contract vehicle for its cross-domain products.
- **Our assessment is unchanged.** Insider-risk controls for AI agents are arriving inside platforms, but no dedicated insider-risk brand has been absorbed.

Stories to watch

Dates coming due

- **Netskope Agent Action Control:** still "a Beta feature" in Netskope's documentation. Netskope promised it for the end of its quarter, 31 October by our calculation.
- **Microsoft Purview data loss prevention for non-Microsoft apps:** general availability planned for late October.
- **Splunk Agent Launchpad:** a webinar on 29 October offers live demonstrations; we found no dated general availability.

- **Okta** gateway kill switch: “coming soon”. **Proofpoint** security-analyst agent: release still says private preview.

Deals still open

- **Proofpoint and Varonis:** watch for the proxy and a vote date. Close expected in the first half of 2027.
- **CrowdStrike and Orion Security; OpenAI and Trail of Bits; Datadog and Upwind:** all unconfirmed.
- **Upwind and Aegis:** Calcalist now says Upwind “acquired” Aegis in September; we found no company statement.

Coming events

- **Fortinet and Tenable results, 28 October. Check Point, 2 November; Varonis, 3 November; Rapid7, 4 November.**
- **RSA Agent ID:** two parts planned for general availability on 16 November. **Microsoft Ignite:** 17 to 20 November.

New names worth tracking

- Mave, Ultra Security, Asymptote Labs, Blackwall, Transmit Security and Cohere’s planned cyber unit.

Sources: Netskope documentation, Microsoft message (archived copy), Splunk, Proofpoint, Calcalist, Fortinet, Tenable, Check Point, Rapid7, RSA, Microsoft.

Sources

The full source notes link each reported development to company announcements, regulatory filings or named publications.